

The Great Depression: Causes, Impact, and Recovery

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Economics

History

Great Depression

New Deal

● Overview

The Great Depression (1929-1939) was the most severe worldwide economic downturn in modern history. Triggered by the stock market crash of October 1929, it resulted in unprecedented unemployment, bank failures, and industrial collapse across the globe. The crisis fundamentally reshaped economic theory and government policy, leading to the New Deal programs in the United States and the development of Keynesian economics as a framework for understanding macroeconomic instability.

● Core Structures

Stock Market Crash of 1929

- DEFINITION** The dramatic collapse of stock prices on the New York Stock Exchange beginning on October 24, 1929 (Black Thursday), with the most devastating declines occurring on October 28-29 (Black Monday and Black Tuesday).
- FUNCTION** The crash destroyed billions of dollars in wealth overnight, triggering a chain reaction of bank failures, business closures, and consumer spending collapse that spread across the entire economy.
- EXAMPLES** The Dow Jones Industrial Average fell 25% in two days; \$30 billion in stock value was erased within a week; by 1932, stocks had lost 89% of their peak value.

KEY TAKEAWAY

Without the speculative excesses of the 1920s stock market, the crash might have been a normal correction rather than the trigger for a decade-long economic catastrophe that affected every industrialized nation.

Bank Failures and Credit Collapse

- DEFINITION** The systematic failure of thousands of commercial banks between 1930 and 1933, caused by depositor panic, loan defaults, and insufficient federal deposit insurance.
- FUNCTION** Bank failures destroyed personal savings, eliminated credit availability for businesses, and froze the money supply, deepening and prolonging the economic contraction far beyond what market forces alone would have produced.
- EXAMPLES** Over 9,000 banks failed between 1930-1933; the Bank of United States collapse in December 1930 affected 400,000 depositors; 4,000 banks failed in the first two months of 1933 alone.

KEY TAKEAWAY

The creation of the FDIC in 1933 directly addressed this failure, and no similar cascade of bank failures occurred in the United States until the 2008 financial crisis — a gap of 75 years.

The New Deal Programs

- DEFINITION** A series of federal programs, public works projects, financial reforms, and regulations enacted by President Franklin D. Roosevelt between 1933 and 1939 to provide relief, recovery, and reform.
- FUNCTION** The New Deal provided immediate employment through public works (WPA, CCC), stabilized the financial system (Glass-Steagall Act, SEC), and established a social safety net (Social Security) that permanently expanded the role of the federal government.
- EXAMPLES** The WPA employed 8.5 million people and built 650,000 miles of roads; the CCC enrolled 3 million young men in conservation projects; Social Security provided retirement benefits to millions.

KEY TAKEAWAY

The New Deal established the principle that the federal government has a responsibility to manage economic crises and protect citizens from market failures — a concept that remains foundational to American economic policy today.

Dust Bowl and Agricultural Collapse

- DEFINITION** A decade of severe dust storms and drought affecting the Great Plains region from 1930 to 1940, caused by poor farming practices and natural climate conditions.
- FUNCTION** The Dust Bowl displaced over 2.5 million people from the Plains states, destroyed agricultural livelihoods, and compounded the economic misery of the Depression in rural America.
- EXAMPLES** Black Sunday (April 14, 1935) saw a massive dust storm that traveled 2,000 miles; Oklahoma lost 440,000 residents to migration; topsoil losses averaged 480 tons per acre in affected areas.

KEY TAKEAWAY

The Dust Bowl led directly to modern soil conservation practices and the creation of the Soil Conservation Service, fundamentally changing how America manages its agricultural resources.

Keynesian Economics Revolution

- DEFINITION** The economic theory developed by John Maynard Keynes arguing that government spending and monetary policy can stabilize economic cycles and mitigate recessions.
- FUNCTION** Keynesian theory provided the intellectual framework for government intervention during economic downturns, challenging the classical view that markets are self-correcting and justifying deficit spending as a tool for economic recovery.
- EXAMPLES** Keynes published 'The General Theory' in 1936; his ideas influenced the New Deal's public spending programs; post-war fiscal policies in the US and Europe adopted Keynesian principles.

KEY TAKEAWAY

Without the intellectual revolution triggered by the Great Depression, governments might still rely solely on austerity during recessions — a counterfactual that makes the Depression one of the most consequential events in the history of economic thought.

● Interesting Facts

- At the Depression's worst point in 1933, unemployment in the United States reached 24.9%, leaving one in four workers without a job.
- Global GDP declined by an estimated 15% between 1929 and 1932, making the Great Depression far more severe than the 2008 financial crisis, which saw a 1% global GDP decline.
- Herbert Hoover's name became so associated with economic failure that homeless encampments were called 'Hoovervilles' and newspapers used as blankets were called 'Hoover blankets.'
- The Smoot-Hawley Tariff Act of 1930, intended to protect American industry, instead triggered retaliatory tariffs that reduced international trade by 65% and worsened the global downturn.
- The Great Depression directly contributed to the rise of extremist political movements in Europe, including the Nazi Party in Germany, which exploited economic despair to gain electoral support.
- The economic recovery was not fully achieved until World War II mobilization, when defense spending finally absorbed the remaining unemployment and industrial overcapacity.